Economics Mock

Paper 2 Marking Scheme

/ acceptable alternative; n@ n marks per point; max maximum mark for the (sub-)question; [Mark the FIRST n points only] Marks for each point are shown in the right column (n); underlined words are key words. For revision only; other valid answers should also be credited.

SECTION A (44 marks)

1. (3 marks)

Stance The statement as a whole is a normative statement. **(1)**

Reason "The government should build…" involves a value judgement (whether it ought to be done). **(1)**

Reason Such a statement cannot be verified or refuted by facts. **(1)**

Reason The clause "cycling tracks can reduce traffic accidents" is positive (testable with data), but it does not change the normative nature of the whole statement. **(1)**

Do not accept：淨寫「規範性」而冇理由：0 分；「因為有數據支持所以係實證」

> **Common errors**：只因句中有一個可驗證的理由便判為實證性陳述；或只寫「有『應』字」而沒有解釋價值判斷。（最高 3 分）

2. (6 marks)

(a) (2 marks)

Reason Advantage: more capital / easier to borrow / losses shared / different skills combined / workload shared (any one). **(1)**

Reason Elaboration of the effect on the business, e.g. funds to expand tools and stock, or complementary skills raise efficiency. **(1)**

> **Common errors**：只寫「多個人幫手」而冇說明對業務的具體好處；或錯寫合夥人有有限責任。

(b) (2 marks)

Stance Disagree. **(1)**

Reason Partners generally have unlimited liability for the partnership's debts: if Ah Hang cannot pay, creditors can claim the whole debt of the shop from Ah Lok, even from his personal assets, so it need not be only half. **(1)**

Also accept：理由亦可寫：虧損按合夥協議的比例分擔，比例不一定是一半（須配合「不同意」）

Do not accept：只寫「不同意」而冇理由：0 分；同意，因為兩人平分（未考慮無限責任）

> **Common errors**：以為合夥人只按出資比例承擔債務；或把合夥人寫成負有限責任。

(c) (2 marks) 1@ max. 2 [Mark the FIRST 2 only]

Practice makes perfect: skills / productivity rise. **(1)**

Time saved from switching between tasks. **(1)**

Work is assigned according to each person's abilities. **(1)**

Easier to use specialised tools / machines. **(1)**

> **Common errors**：把分工的好處寫成「多一個人做嘢所以快啲」，未說明專門化的效果。

3. (5 marks)

(a) (1 mark)

Answer 3 840 000 − 3 700 000 = 140 000 persons **(1)**

Do not accept：88 000；192 000

> **Common errors**：再扣去就業不足人數（88 000）— 就業不足人士已計入就業人數。

(b) (2 marks) 1@ max. 2 [Mark the FIRST 2 only]

Underemployed persons are counted as employed, so their insufficient working hours are not reflected. **(1)**

Discouraged workers who have stopped looking for work are excluded from the labour force and from the unemployed. **(1)**

People forced into jobs below their skills are still counted as employed. **(1)**

> **Common errors**：寫「失業率計錯人數」等含糊說法；把就業不足當作失業。

(c) (2 marks) 1@ max. 2 [Mark the FIRST 2 only]

More people stay in full-time education. **(1)**

Population ageing: more people retire. **(1)**

More people stay home for household duties / caring for family members. **(1)**

More people give up looking for work. **(1)**

Do not accept：失業增加；移民外流（人口增加的前提下不符題意，除非說明是工作年齡人口外移）

> **Common errors**：寫「失業人數增加」— 失業人士仍屬勞動人口。

4. (7 marks)

(a) (1 mark)

Answer Real GDP in Year 2 = 3 150 ÷ 1.03 ≈ 3 058.3 ($ billion); growth rate ≈ 1.94% **(1)**

Also accept：1.94%／1.9%

Do not accept：2%（以 5% − 3% 近似，未用平減物價指數換算實質值）

> **Common errors**：以名義增長 5% 減物價升幅 3% 得 2% — 未用平減物價指數把名義值換算為實質值。

(b) (2 marks)

Reason Changes in nominal GDP include both price changes and output changes. **(1)**

Reason Real GDP removes the effect of price changes and reflects changes in output only. **(1)**

> **Common errors**：只寫「實質較準確」而冇解釋物價因素。

(c) (4 marks) 2@ max. 4 [Mark the FIRST 2 only]

Stance Stance: Disagree. **(0)**

Reason Population may grow faster, so per capita real GDP may fall. **(2)**

Reason Income distribution may worsen, so most people may not benefit. **(2)**

Reason Higher output may come with longer working hours / less leisure. **(2)**

Reason Higher output may come with more pollution, which is not deducted from GDP. **(2)**

Reason Output may be mainly capital goods / military goods, which may not raise current consumption. **(2)**

Reason Non-market activities (e.g. housework) become market transactions: GDP rises but welfare may not improve. **(2)**

Do not accept：物價上升（實質值已扣除物價）

> **Common errors**：只列出因素而冇說明點樣影響福利；或寫「通脹」— 題目已講實質值。

5. (6 marks)

(a) (2 marks)

Note-issuing banks must deliver US dollars to the HKMA (Exchange Fund) at USD 1 = HKD 7.80. **(1)**

In return they receive Certificates of Indebtedness, which allow them to issue the corresponding amount of HK dollar notes (fully backed by US dollars). **(1)**

> **Common errors**：寫成「發鈔銀行自行決定印幾多鈔票」；或把匯率寫成 7.75／7.85（發鈔以 7.80 兌換）。

(b) (4 marks)

Stance Disagree. **(1)**

Reason If HK dollar rates were well below US dollar rates, with an almost fixed exchange rate (little exchange-rate risk), funds would flow out of HK dollars (sell HKD, buy USD). **(1)**

Reason The HK dollar weakens to 7.85; the HKMA must buy HK dollars under the weak-side convertibility undertaking, so the monetary base (Aggregate Balance) contracts. **(1)**

Reason HK dollar interest rates are pushed up back towards US rates, so the HKMA cannot conduct an independent monetary policy / set interest rates on its own. **(1)**

Do not accept：只寫「不同意」而冇理由：0 分

> **Common errors**：同意金管局可以直接定利率；或只寫「因為港元與美元掛鈎」而冇解釋資金流動及兌換保證的機制。

6. (5 marks)

Reason Export markets grow, so exports of Country K rise and AD increases (AD0 → AD1). **(1)**

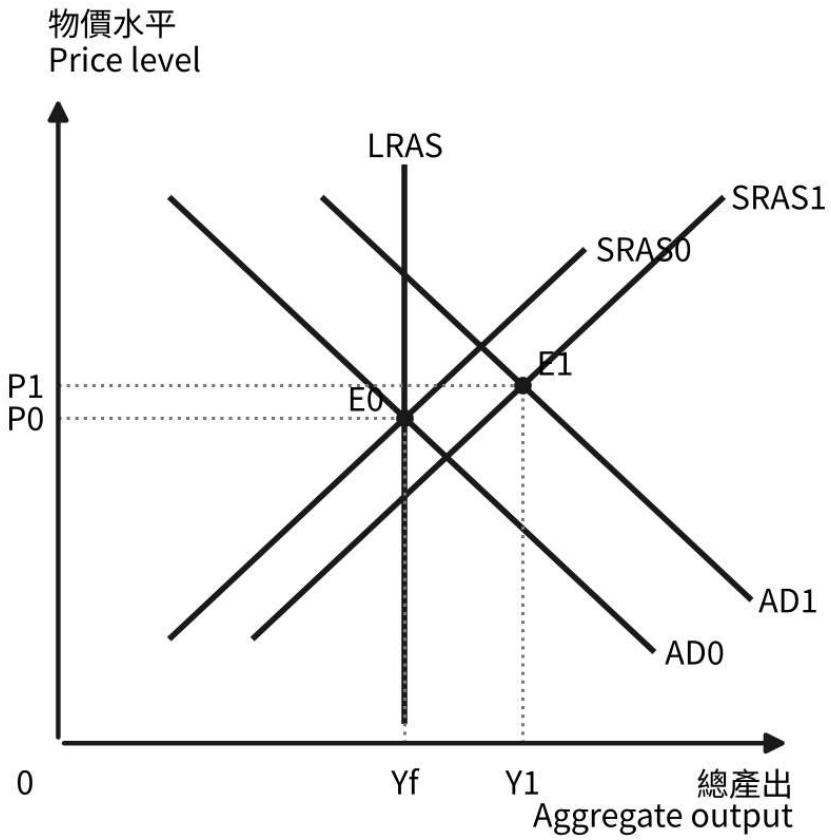
Reason Lower prices of imported raw materials cut production costs, so SRAS increases (SRAS0 → SRAS1). Real output must rise in the short run (Y1 > Yf), while the change in the price level is uncertain, depending on the relative shifts of AD and SRAS. **(1)**

Diagram

Correct axes (price level, aggregate output); AD shifts right from AD0 to AD1 **(1)**

SRAS shifts right from SRAS0 to SRAS1; LRAS unchanged (vertical at Yf) **(1)**

New equilibrium E1 with Y1 > Yf; P1 may be above, equal to or below P0 (any case accepted if the text states that the price level change is uncertain) **(1)**



Do not accept：物價水平必然上升／必然下降（未考慮兩者移動幅度）；總需求下降

> **Common errors**：只畫一條曲線移動；斷言物價水平必然上升或必然下降；把 LRAS 一併右移（原材料價格下跌屬成本變動，不改變長期生產能力）；橫軸誤標「數量」。

7. (6 marks)

(a) (3 marks)

Working Country A: opportunity cost of 1 solar panel = 9/3 = 3 units of cocoa beans. **(1)**

Working Country B: opportunity cost of 1 solar panel = 4/4 = 1 unit of cocoa beans. **(1)**

Answer Country B has the lower opportunity cost (1 < 3 units of cocoa beans), so Country B has the comparative advantage in solar panels. **(1)**

> **Common errors**：以絕對產量比較（甲國可可豆較多所以……）；或把機會成本倒轉計算（3/9）。

(b) (3 marks)

Working Country A exports 60 units of cocoa beans and obtains 60 ÷ 2 = 30 solar panels. **(1)**

Working Producing 60 units of cocoa beans means giving up 60 × 1/3 = 20 solar panels (it could make only 20 panels itself). **(1)**

Answer Gains from trade = 30 − 20 = 10 solar panels. **(1)**

Do not accept：10（冇單位）只得方法分；以可可豆計的答案（題目要求以太陽能板計）

> **Common errors**：用乙國的機會成本計算（60 − 60 = 0）；以可可豆而非太陽能板為單位；或答 10 而冇單位。

8. (6 marks)

(a) (2 marks)

Answer Excess reserves = 660 − 20% × 3 000 = \$60 million **(1)**

Answer Monetary base = 660 + 450 = \$1 110 million **(1)**

> **Common errors**：把貨幣基礎寫成儲備 660 或存款加現金 3 450。

(b)

(i) (1 mark)

Answer 1 ÷ 20% = 5 (times) **(1)**

Also accept：5 倍

> **Common errors**：寫成 20 或 0.2。

(ii) (3 marks)

Working After lending out excess reserves, deposits = 660 ÷ 20% = \$3 300 million. **(1)**

Working After the RRR rises to 22%, maximum deposits = 660 ÷ 22% = \$3 000 million. **(1)**

Answer Money supply returns to 450 + 3 000 = \$3 450 million, i.e. no change (\$0) compared with the original level. (If the answer is "a decrease of \$300 million" (compared with the intermediate level only), this answer point gets 0; method marks are still awarded.) **(1)**

> **Common errors**：只計提高比率後的收縮（減少 3 億元），忽略題目要求與「原本」比較；或用 5 × 60 再乘錯比率。

SECTION B (60 marks)

9. (17 marks)

(a)

(i) (1 mark)

Legal restriction on entry / government franchise (Source B: a 30-year exclusive operating right). **(1)**

Also accept：牌照／獨家經營權

> **Common errors**：寫「自然壟斷」或「成立成本高昂」— 資料 B 指明是政府批出專營權。

(ii) (2 marks) 1@ max. 2 [Mark the FIRST 2 only]

High set-up cost / natural monopoly (large economies of scale). **(1)**

Control of an essential input / factor of production. **(1)**

Patents / copyrights. **(1)**

Do not accept：專營權／法律限制（已在 (i) 作答，不給分）

> **Common errors**：再寫一次「專營權／法律限制」；或寫「產品同質」等完全競爭特徵。

(b) (8 marks)

Reason Project spending falls from its peak of $12.4 billion in 2029-30 to $3.4 billion in 2031-32 (and stops after completion): investment expenditure (domestic fixed capital formation) / government expenditure falls, so AD decreases (AD0 → AD1). **(1)**

Reason Capacity rises by 35% and handling time falls from 18 to 7 hours: productivity rises, so both SRAS and LRAS increase (SRAS0 → SRAS1, LRAS0 → LRAS1). **(1)**

Reason Both changes lower the price level, so the price level must fall (P0 → P1). **(1)**

Reason Short-run real output is uncertain, depending on the relative sizes of the fall in AD and the rise in AS; in the long run output rises to the new full-employment level (LRAS1, Y2). **(1)**

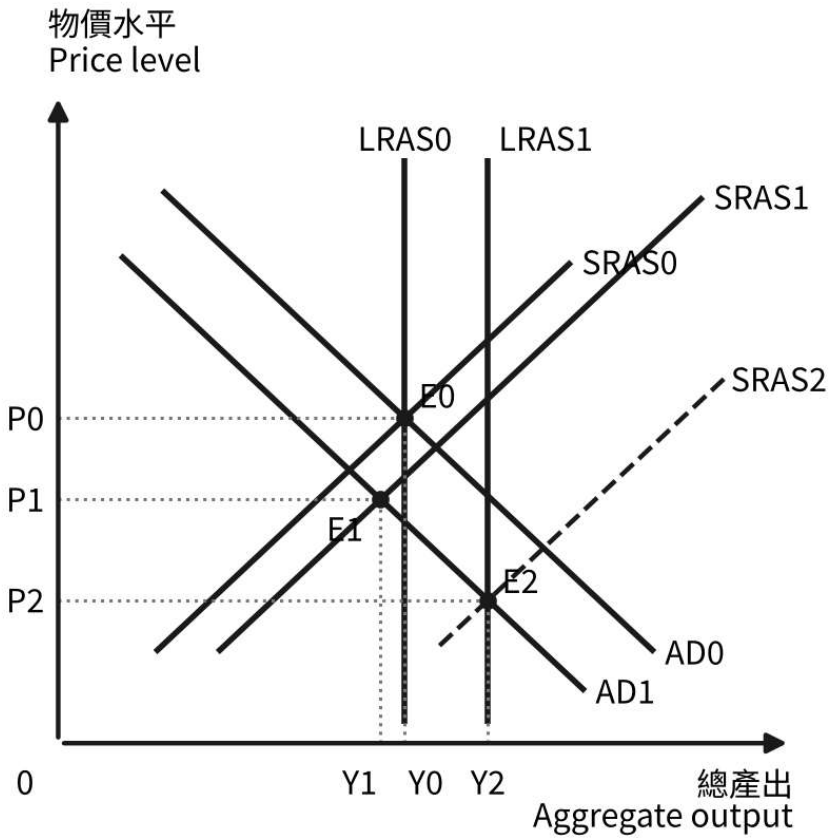
Diagram

Correct axes (price level / aggregate output); AD shifts left from AD0 to AD1 **(1)**

Both SRAS and LRAS shift right (SRAS0 → SRAS1, LRAS0 → LRAS1) **(1)**

New equilibrium price level is lower (P1 < P0) **(1)**

Short-run output Y1 compared with Y0 depends on the size of the shifts (any position accepted if the text states it is uncertain); long-run equilibrium on LRAS1 (Y2) **(1)**



Do not accept：短期實質產出必然上升／必然下降（未考慮移動幅度）；只畫 AD 右移（與建期分析，與題目無關）

> **Common errors**：只寫政府消費開支而未能說明基建開支亦屬投資支出（兩者均接受）；斷言短期產出必然上升或下降；只移動 LRAS 而冇移動 SRAS；橫軸寫「數量」而非「總產出」；冇引用資料 A／B 數字。

(c) (2 marks) 1@ max. 2 [Mark the FIRST 2 only]

Easier to hire skilled workers in the area. **(1)**

Supporting services (warehousing, customs clearance, repairs) cluster nearby, lowering costs. **(1)**

Better infrastructure and transport lower transport costs. **(1)**

Easier exchange of industry information. **(1)**

Do not accept：大量採購折扣（屬內部規模經濟）

> **Common errors**：寫成內部規模經濟（如大量採購、管理專門化）。

(d) (4 marks)

Stance (i) Included in GDP: the wages are factor income generated from production within the city. **(1)**

Reason GDP is based on where production takes place, regardless of the workers' residency. **(1)**

Stance (ii) Not included in GNI: the workers stay for less than one year and must return home when the contracts end (no intention to stay for one year or more), so they are non-residents. **(1)**

Reason Their wages are factor income paid to non-residents, which is deducted from GDP in arriving at GNI. **(1)**

Do not accept：外地人所以唔計本地生產總值；在本地工作所以屬本地居民

> **Common errors**：以國籍判斷居民身份；或以為「在本地工作就是居民」而把工資計入本地居民總收入。

10. (14 marks)

(a)

(i) (2 marks)

Answer The goods trade deficit widened from USD 12.7 billion to USD 24.7 billion. **(1)**

Answer The services trade surplus widened from USD 22.5 billion to USD 26.7 billion. **(1)**

> **Common errors**：只寫出口、進口數字而冇計差額；或把赤字寫成正數「上升」而冇說明是赤字擴大。

(ii) (2 marks)

Reason Depreciation lowers the US-dollar prices of Country V's exports. **(1)**

Reason In the short run export volumes cannot rise immediately (contracts signed / foreign demand inelastic), so US-dollar export earnings fall (Source A: USD 182.4 bn → 176.9 bn) and the goods deficit widens. **(1)**

Reason Or: world prices of imported raw materials / energy rose and V's import demand is inelastic, so US-dollar import spending rose (Source A: USD 195.1 bn → 201.6 bn). **(2)**

Reason Or: major trading partners went into recession, reducing demand for V's exports (Source A: goods exports fell from USD 182.4 bn to 176.9 bn), offsetting the depreciation. **(2)**

Also accept：其他合理原因，須與以美元計的資料 A 數字一致

> **Common errors**：用以 V 元計價的 J 曲線（進口的 V 元價格上升）解釋以美元計的數據；寫「貶值令出口量減少」— 方向錯誤；或只重複資料。

(b)

(i) (4 marks)

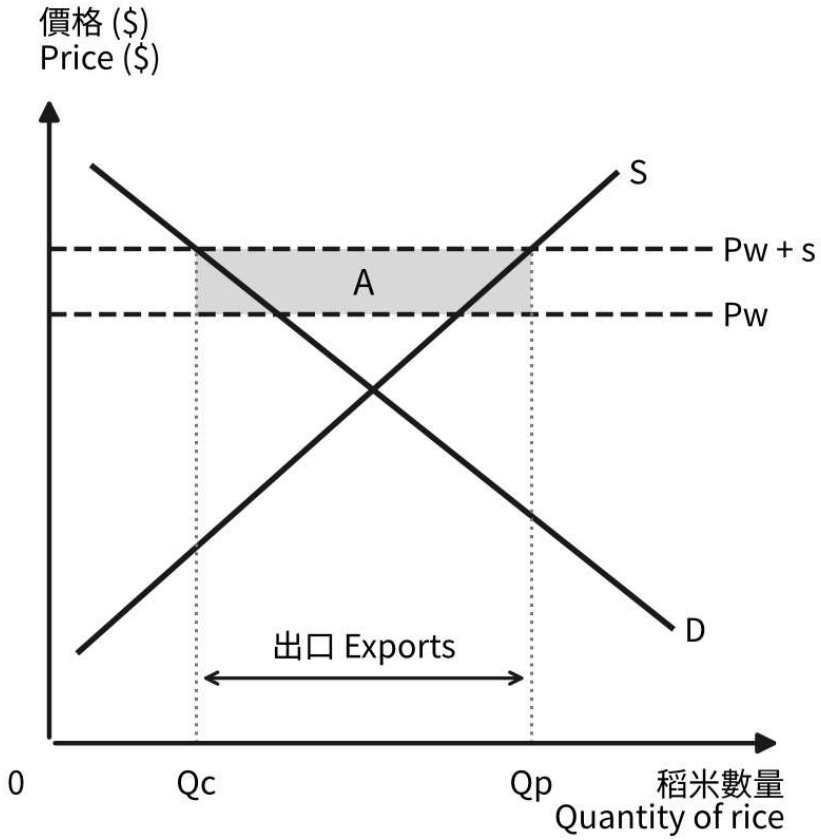
Diagram

Domestic price rises to Pw + s **(1)**

Domestic consumption Qc (quantity demanded at Pw + s, lower than before) **(1)**

Domestic production Qp (quantity supplied at Pw + s, higher than before) **(1)**

Exports = Qp − Qc **(1)**



> **Common errors**：把本地價格畫成 Pw（以為補貼只影響出口價）；把出口量畫在 Qd 左邊；混淆本地生產量與出口量。

(ii) (1 mark)

Diagram

Rectangle (area A) with height s (Pw to Pw + s) and width = exports (Qc to Qp) **(1)**

> **Common errors**：把整個生產量乘補貼額當作開支（補貼只適用於出口部分）。

(c) (3 marks)

Reason Domestic price rises and consumption falls: consumer surplus decreases. **(1)**

Reason Producers sell more at a higher price: producer surplus increases. **(1)**

Reason The gain in producer surplus is smaller than the loss in consumer surplus plus the government's subsidy spending: total social surplus falls (deadweight loss). **(1)**

> **Common errors**：以為補貼必然增加社會盈餘；或忘記計入政府補貼開支。

(d) (2 marks) 1@ max. 2 [Mark the FIRST 2 only]

Tariffs **(1)**

(Import) quotas **(1)**

Embargoes **(1)**

Administrative barriers / product standards **(1)**

Also accept：進口牌照／本地生產補貼（令本地產品較入口貨有優勢）

> **Common errors**：寫「貶值」或「自由貿易協定」— 不屬貿易障礙。

11. (29 marks)

(a) (2 marks)

Answer 2021: 820 tonnes ÷ 5.86 million ≈ 0.140 kg per person per day; 2025: 905 ÷ 5.95 ≈ 0.152 kg per person per day **(1)**

Answer Per capita daily food waste from restaurants rose (by about 9%), so the increase was not only due to population growth. **(1)**

Also accept：0.14 及 0.15 公斤／140 克及 152 克／上升約 8.7%

> **Common errors**：只比較總廚餘量；單位錯（公噸 vs 公斤，漏乘 1 000）。

(b) (4 marks)

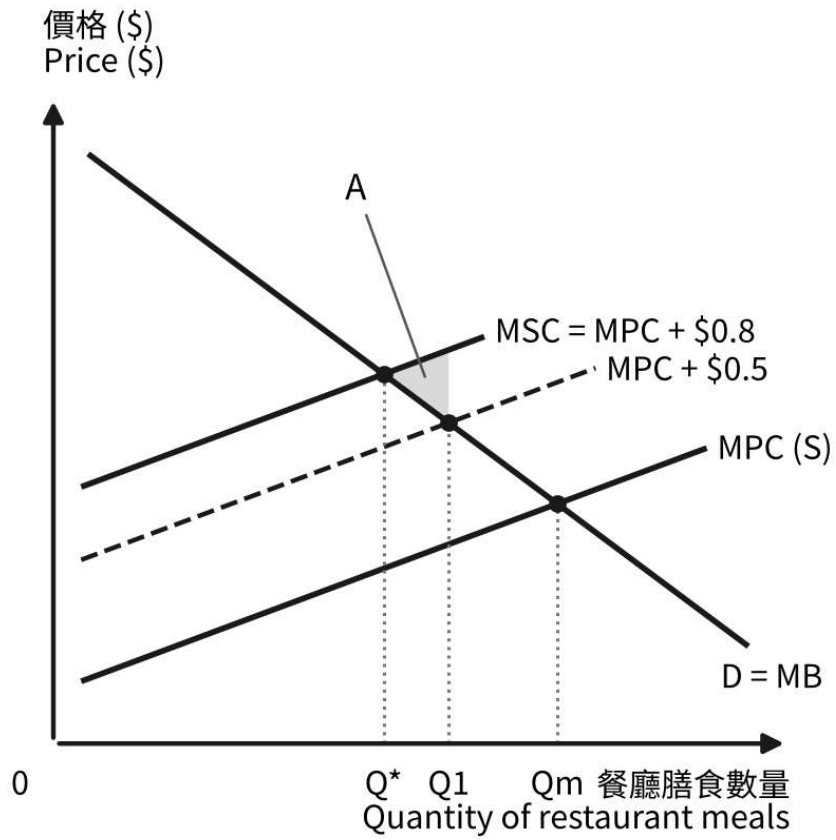
Working Charge per meal = 0.25 kg × \$2 = \$0.5, which is less than the \$0.8 gap between marginal social cost and marginal private cost. **(1)**

Reason It cannot reach the efficient level: output falls from Qm to Q1 but remains above the efficient output Q* (MSC = MB); there is still over-production, and the deadweight loss is reduced but not eliminated (area A). **(1)**

Diagram

Correct axes; D = MB, MPC, and MSC above MPC (by \$0.8) **(1)**

After the charge MPC shifts up by \$0.5 (MPC + \$0.5), still below MSC; Qm, Q1 and Q* indicated with Q* < Q1 < Qm **(1)**



Do not accept：方案 I 可令產量達至有效率水平（\$0.5 < \$0.8）

> **Common errors**：以為收費必然令產量達至有效率水平；把收費畫成需求曲線移動；MPC 上移幅度與 MSC 相同；忘記計算每份膳食的收費（\$2 × 0.25）。

(c)

(i) (3 marks)

Reason The charge is based on the weight of food waste, so a restaurant's cost per meal depends on how much waste each meal generates. **(1)**

Reason Restaurants therefore have an incentive to cut waste per meal, e.g. adjusting portion sizes, better inventory management, donating surplus food. **(1)**

Reason Less waste per meal reduces the external effect per meal (the gap between social and private cost); MSC shifts down towards MPC and the deadweight loss falls further. **(1)**

Also accept：以「每公斤收費提供減少廚餘的誘因」代替第 1 點

> **Common errors**：只重複「產量減少」；或只寫「廚餘減少」而冇說明每份膳食的社會代價下降。

(ii) (2 marks)

Stance Disagree. **(1)**

Reason The charge reduces supply and raises meal prices, so consumers also bear part of it; the shares depend on the elasticities of demand and supply (e.g. Source C: small restaurants may raise prices). **(1)**

Also accept：同意，但須說明需求完全富彈性或供應完全缺乏彈性的情況（極端情況）

> **Common errors**：只寫「消費者都要俾」而冇提彈性；或寫完全由消費者承擔。

(d) (2 marks)

Reason With illegal dumping, restaurants avoid the charge, so private cost does not rise and the external cost is not internalised. **(1)**

Reason Food waste may not fall, and the government must spend more on enforcement / clean-up, so Proposal I is less effective. **(1)**

> **Common errors**：只寫「會影響成效」而冇解釋私人代價的機制。

(e) (14 marks)

Content (max. 12)

Proposal I on efficiency max. 2

Reason MPC rises towards MSC; output falls towards Q*; deadweight loss falls; the charge also gives an incentive to cut waste per meal. **(1)**

Reason But the charge per meal ($0.5) is below the gap between social and private cost ($0.8), and illegal dumping may occur (Source C), so efficiency may not be fully achieved. **(1)**

Proposal II on efficiency max. 2

Reason Decomposers cut waste sent to landfill, lowering the external effect per meal (MSC falls towards MPC), reducing deadweight loss. **(1)**

Reason But with free collection at present, restaurants save nothing by installing decomposers, so the incentive and take-up may be low and the efficiency gain limited. **(1)**

Reason The subsidy does not change restaurants' incentive to generate waste; restaurants that do not install decomposers still create external effects. **(1)**

Proposal I on meal prices max. 2

Reason Restaurant costs rise, supply falls, meal prices rise (Source C). **(1)**

Reason The rise depends on elasticities; the charge is only about $0.5 per meal (0.25 kg × $2), small relative to the price of a meal, so the rise may be limited. **(1)**

Proposal II on meal prices max. 2

Reason The government pays 80% of the installation cost, so restaurant costs rise little and meal prices stay roughly unchanged. **(1)**

Reason Restaurants still pay 20% of the installation cost plus running costs (electricity, maintenance), so prices may rise slightly; but the installation cost is a fixed cost with little effect on marginal cost, so prices stay roughly unchanged. **(1)**

Proposal I on the fiscal position max. 2

Reason The charge brings in revenue, improving the fiscal position. **(1)**

Reason But administration and enforcement costs rise (against illegal dumping), and revenue falls as waste falls. **(1)**

Reason Also, less food waste reduces the government's collection and landfill spending, further improving the fiscal position. **(1)**

Proposal II on the fiscal position max. 2

Reason Spending of $1.2 billion over three years from general revenue worsens the fiscal position. **(1)**

Reason But in the long run it may cut collection and landfill costs, partly offsetting the subsidy. **(1)**

Effective communication (EC, max. 2)

Level	Descriptor
2	Supports arguments with the sources/data and appropriate economic theories; relevant; well-organised and coherent without repetition; clear and fluent, with appropriate use of terms or symbols.
1	Supports arguments with some sources/data and theories; partly irrelevant; fairly organised with some repetition; occasional misuse of terms.
0	No use of sources and theories; irrelevant; poorly organised; limited expression.

EC is marked separately from content.

> **Common errors**：只寫一個方案或只寫兩個方面；把「效率」寫成「效果」；冇引用資料數字（$2／公斤、12 億元、80%）；評價只得單方面論點。

(f) (2 marks)

Reason The charge raises meal prices at budget restaurants, where low-income households eat more often (Source C). **(1)**

Reason The extra spending takes up a larger share of low-income households' income, so the burden is regressive. **(1)**

> **Common errors**：只寫「窮人冇錢」而冇說明負擔佔收入比例；混淆累退與累進。

SECTION C (16 marks)

12. (16 marks) Elective Part 1

(a) (4 marks)

Answer Reference values (no separate mark): Pt = \$110; Qt = 2 500 rides; tax revenue = \$20 × 2 500 = \$50 000 per day = area A **(0)**

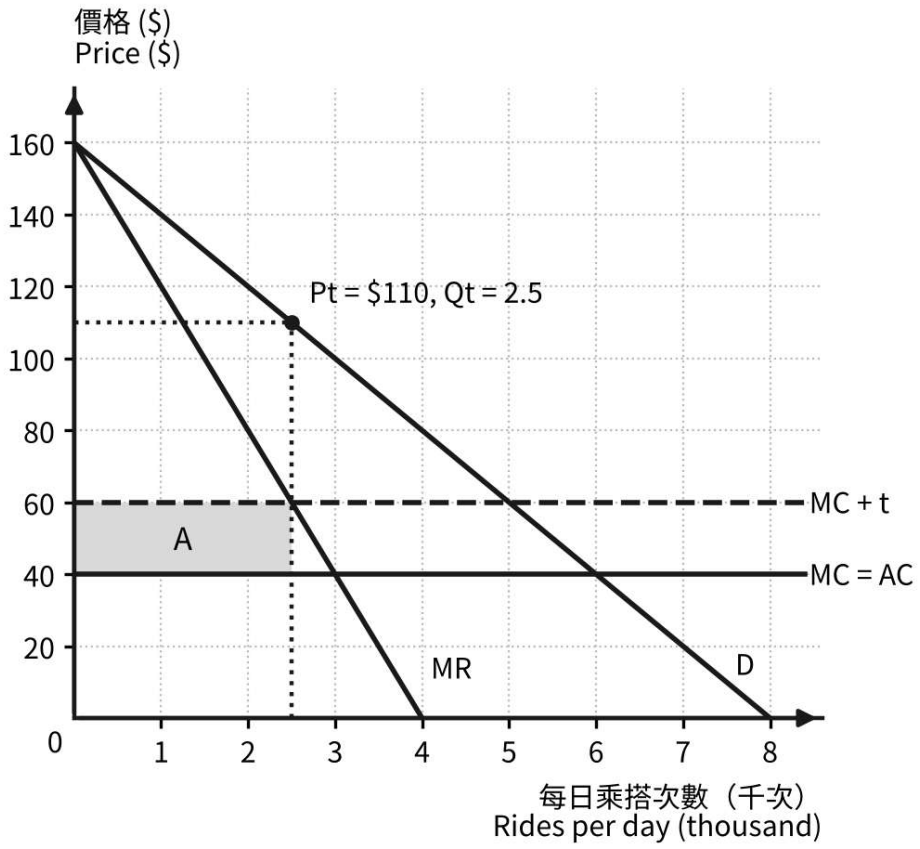
Diagram

MC shifts up in parallel to MC + t (\$60) **(1)**

Qt where MR = MC + t (2 500 rides) **(1)**

Pt read from D at Qt (\$110) **(1)**

Tax revenue rectangle (area A) between \$40 and \$60 from 0 to Qt **(1)**



Common errors：把稅後價格寫成 \$100 + \$20 = \$120（以為稅項全數轉嫁）；或把 MC + t 與需求曲線相交定產量。

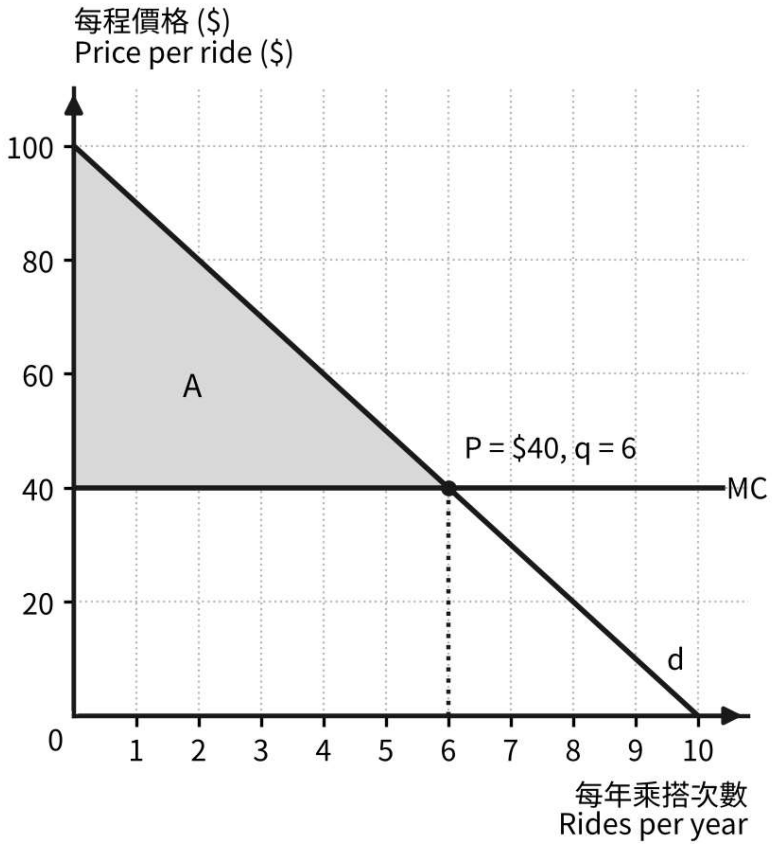
(b)

(i) (2 marks)

Diagram

Price per ride = MC = \$40 **(1)**

Rides = 6 per year (where d meets MC) **(1)**



> **Common errors**：把每程價格定於 MR = MC（以為單一定價）。

(ii) (3 marks)

Answer Maximum fee = consumer surplus = ½ × 6 × ($100 − $40) = $180 **(1)**

Reason Efficient: price per ride equals MC, so output is at the efficient level with no deadweight loss (consumer surplus is transferred to the firm). **(1)**

Diagram

Indicate the triangle below d and above $40 from 0 to 6 rides (area A) **(1)**

> **Common errors**：以為公司賺取全部盈餘就一定缺乏效率；混淆公平與效率。

(c)

(i) (2 marks)

Stance Local residents have a more elastic demand. **(1)**

Reason Under profit maximisation MR is equalised across groups (= the same MC); since MR = P(1 − 1/|e|), the group with more elastic demand is charged the lower price ($90 < $150). **(1)**

Also accept：以數字說明：旅客 |e| ≈ 1.36、居民 |e| = 1.8（以 MC = $40 計）

> **Common errors**：調轉結論，以為收費較高的一組需求較富彈性；或只寫「旅客較富有」而冇連繫彈性。

(ii) (2 marks)

Stance Disagree. **(1)**

Reason A uniform price would lie between $90 and $150; local residents, with more elastic demand, pay only $90, below the uniform price, so their consumer surplus rises; only tourists pay more and lose consumer surplus. **(1)**

Do not accept：同意，因為公司攫取了消費者盈餘（未分辨兩組顧客）

> **Common errors**：以為價格分歧必然令所有消費者受損；或只寫「公司賺多咗」而冇比較兩組顧客。

(d) (3 marks) 1@ max. 3 [Mark the FIRST 3 only]

Price fixing **(1)**

Bid rigging **(1)**

Market sharing / customer allocation **(1)**

Restricting output / sales quotas **(1)**

Also accept：瓜分市場（同「分配市場」）
Do not accept：濫用市場權勢（屬第二行為守則）

> **Common errors**：寫成第二行為守則的「濫用市場權勢」，或寫「價格分歧」。

13. (16 marks) Elective Part 2

(a) (2 marks)

Reason Resources are not equally suitable for producing both goods. **(1)**

Reason As more of one good is produced, less suitable resources are shifted, so the marginal (opportunity) cost increases and the curve is bowed outwards. **(1)**

> **Common errors**：寫「因為資源有限」— 只解釋曲線為何有界限，不解釋形狀。

(b) (5 marks)

Working Real GDP in 2025 = 1 155 ÷ 1.25 = 924 (billion R-dollars) **(1)**

Working Real GDP in 2020 = 840 (base year) **(1)**

Working Per capita real GDP in 2020 = 840 billion ÷ 42 million = 20 000 R-dollars **(1)**

Working Per capita real GDP in 2025 = 924 billion ÷ 44 million = 21 000 R-dollars **(1)**

Answer Change = (21 000 − 20 000) ÷ 20 000 = +5% **(1)**

Do not accept：31.25%；12.5%

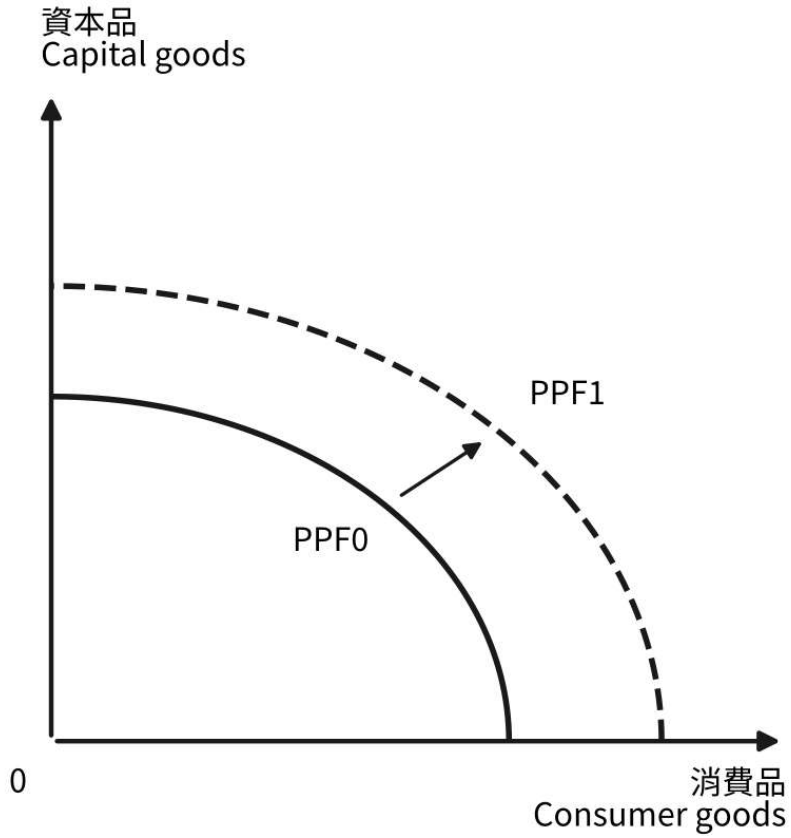
> **Common errors**：用名義值計人均（得 +31.25%）；或以 37.5% − 25% 直接相減。

(c) (2 marks)

Diagram

PPF shifts outwards (PPF0 → PPF1) **(1)**

New curve labelled PPF1 with larger intercepts (or a bigger rise in the capital goods intercept) **(1)**



> **Common errors**：把生產可能曲線畫成向內移或沿曲線移動；只移動資本品一端（亦可接受偏向資本品的外移，但須向外）。

(d) (3 marks) 1@ max. 3

Reason Adds physical capital, raising labour productivity. **(1)**

Reason Brings technology transfer / new production methods. **(1)**

Reason Trains local workers, raising human capital and management skills. **(1)**

Reason Productive capacity expands, so real (potential) output rises: economic growth. **(1)**

> **Common errors**：只寫「多咗錢」而冇說明如何提高生產能力；混淆經濟增長與經濟發展。

(e) (2 marks)

Reason Economic development covers other aspects of living standards besides income, e.g. health (life expectancy), education, income distribution, environment. **(1)**

Reason Per capita real GDP is only an average; the gains may go to a few, or come with worse pollution and no improvement in education or health. **(1)**

> **Common errors**：只寫「通脹」— 已用實質值；或只列名詞而冇解釋。

(f) (2 marks)

Reason With limited resources, producing more capital goods means producing fewer consumer goods, so current consumption falls. **(1)**

Reason A larger capital stock raises future productive capacity (PPF shifts out), allowing more future consumption: a trade-off between current and future consumption. **(1)**

> **Common errors**：只寫「機會成本」而冇說明現時與未來消費的關係。